How Criminal Organizations Expand to Strong States: Local Agreements and Migrant Exploitation in Northern Italy

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The widespread presence of criminal organizations in strong states presents a theoretical and empirical puzzle. How do criminal organizations—widely believed to thrive in weak states—expand to states with strong capacity? I argue that criminal groups expand where they can strike agreements with local actors for the provision of illegal resources they control. This service is particularly useful in strong states, where illegality carries higher risks. Using a novel measure of mafia presence, I show that mafias' expansion was successful in places with an increased demand for informal unskilled labor and where mafias could fill this demand by offering migrant labor from mafia-affected areas. Organized crime expansion relied on deals with local actors needing to keep illegal transactions hidden from the state—a service critical in strong states. Rather than just substitutes to weak states, criminal organizations should be reconceptualized as also offering services useful in strong state contexts.

The emergence of groups competing with the state for power is widely regarded as the product of state weakness (Fearon and Laitin 2003). From terrorist and insurgents to criminal organizations, competing groups thrive by offering protection and services to citizens of states too weak to offer them (Gambetta 1996; Tilly 1985). Accordingly, scholars and practitioners alike consider economic development, strong institutions, and high social capital as the best weapons to defeat violent groups competing with the state, from Maoist rebels in India to the Taliban (Berman, Shapiro, and Felter 2011; Collier et al. 2003).

While this prevailing view sheds light on the emergence of groups competing with weak states, it fails to explain a phenomenon that has received little scholarly attention but can be observed across many regions and time periods: criminal organizations have tended to expand precisely where institutions are strong, economic conditions stable, and the civil society active. For example, the 'Ndràngheta from Calabria has established permanent outposts in Australia, France, Germany, and Canada. The Sicilian Cosa Nostra famously moved to the United States; the Hong Kong Triads have been present in Canada for decades; similarly, the Russian mafia has operations in France; and the Albanian mafia has been present in the United Kingdom. This choice is puzzling. Transplanting a criminal organization requires building anew a reputation for violence and a network capable of delivering information and favors (Smith and Varese 2001). For these reasons, Gambetta (1996, 251) described mafias as "a difficult industry to export." Expanding to strong states would seem to make these tasks even more daunting, as these states have higher capacity to detect and crack down on incipient criminal groups.

In this article, I study how criminal organizations expand to strong states. I develop a theory predicting where criminal groups will expand successfully, conditional on their move, and I test it in the context of the expansion of Southern Italian mafias to northern Italy. I construct a new measure of mafia presence, and I show, first, that expansion to the North took place where demand for mafias' services and mafias' capacity to offer these services were higher and, second, that actors dealing with mafias obtained durable gains from this collaboration. Together, the theory and the empirical results provide

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foundations for understanding how criminal organizations can successfully expand to strong states.

My theory focuses on one distinctive feature of strong states: their capacity to enforce their own rules and to punish violators (Polanyi and MacIver 1944). Rule enforcement makes it risky for local actors to take illegal shortcuts, as the risks and costs of prosecution are higher. Criminal organizations can solve this problem by assuming control over illegal resources—notably cheap, informal labor—and offering these resources to local actors operating in strong states. The intermediation of agents specialized in illegality allows these actors to violate laws without facing high risks of being detected and prosecuted.

My theory further predicts when mafias expansion to strong states is most likely to occur. Criminal organizations' ability to access, control, and offer illegal or informal labor to local actors is greatly enhanced in periods of mass migration. In fact, in most episodes of expansion, criminal groups have moved at the same time as waves of migrants from the same area of origin. Sicilians moved en masse to the United States together with criminals, as did Hong-Kongese to Canada, Calabrians to Germany and Australia, and Albanians to the United Kingdom. I argue that criminals manage to exert control over immigrants by exploiting the difficulties immigrants face to integrate in the formal labor market (or their outright exclusion from it, if they lack legal status to work) and their susceptibility to intimidation. In particular, when criminal groups have the same origin as immigrants, they can easily threaten to harm them or their family members and social network back home. Deals with economic actors for the recruitment and control over immigrants enable criminal groups to generate revenue streams, as local actors pay to receive criminal services, and, most importantly, to rebuild resources that are essential for organized crime reproduction and that cannot be exported—namely, networks of informants, contacts in the legal economy, and a reputation for violence in the new territory.

I test this theory in the context of northern Italy, a region with high social capital and well-functioning democratic institutions (Putnam, Leonardi, and Nanetti 1994), but which has suffered increasing levels of mafia infiltration since the 1960s. I first provide qualitative evidence showing that Southern mafias gave northern firms access to illegally employed migrants. This cheap workforce was particularly attractive during boom times, when unskilled labor was in high demand and costly to hire. Because migrants came from southern Italy like mafias, mafias could exert control over them. Qualitative evidence suggests that criminal groups recruited migrants as soon as they set foot in the North, offered them immediate (but informal) employment, and prevented them from reporting their situation of illegality to the police even when work-related accidents took place.

Second, I investigate whether this phenomenon was systematic across cities and whether it contributed to mafias' expansion. I collect data on construction employment and internal migration in all Italian municipalities since 1960, and I build a new measure of mafia infiltration by scraping mafia-related news from historic newspapers. I then validate this measure with present-day indicators of organized crime from judicial sources and nongovernmental organizations (NGOs). I use an instrumental variable (IV) approach for both construction employment and migration from the south of Italy to test whether their joint increase determines a higher probability to observe mafia presence. I instrument construction by exploiting a law on urban development from 1865 that applied to cities above 10,000 inhabitants and that I show, using a regression discontinuity design, put these cities in a better position to grow faster once the construction boom started in the 1960s.

I instrument migration using a shift-share instrument and exogenously predict the shift component by leveraging droughts in the south of Italy as push factor for migration to the North. IV estimates show that the joint effect of Southern migration and construction increases mafia presence in the North. Instead, point estimates on construction and migration alone are negative or insignificant, allowing me to rule out that mafias expanded by making profits in the construction industry or that migration alone caused an increase in crime. Results are robust to different definitions of mafia presence and of instruments, as well as different specifications.

I validate the theory of expansion by testing an additional set of predictable implications. First, I show that effects on expansion are null when considering migration from mafia-unaffected provinces, where criminal groups had no preexisting control over migrants. Second, effects are null in sectors with large growth but in which unskilled informal labor was not a useful resource. Finally, while in cities with larger construction growth firms employed a larger average number of workers, cities with construction growth and mafia presence had more smaller firms, in line with qualitative evidence that mafia intermediation allowed the survival of smaller construction firms that would have been otherwise pushed out of the market.

Combining qualitative and quantitative evidence, I show that Southern mafias were more likely to successfully establish a permanent outpost in the north of Italy where a demand for their services existed and where they could find the resources to address it. The service of illegal labor provision and control they offered can be best conceptualized as a complement to a strong state that would prosecute labor violations if they were to be denounced, rather than a substitute in place of weak states not providing sufficient protection to their citizens.

A vast literature attributes the emergence of organized crime to its ability to provide protection by replacing weak states' functions, in Sicily (Acemoglu, De Feo, and De Luca 2019; Bandiera 2003; Buonanno et al. 2015; Dimico, Isopi, and Olsson 2017), Russia (Lonsky 2020; Varese 2006), China (Wang 2017), and Japan (Hill et al. 2003). A related literature examines the strategies that other nonstate armed groups, such as rebels and terrorists, use to expand their operations (Bueno de Mesquita 2013; Weinstein 2006). A much smaller literature focuses on the expansion of criminal groups beyond their territory of origin. Varese (2011) uses case studies of failed and successful transplantation to identify common factors across cases of successful expansion. Buonanno and Pazzona (2014), Pinotti and Stanig (2016), and Sviatschi (2022) focus on the supply of criminals, showing that an exogenous movement of mafia members translates into a higher likelihood of organized crime expansion.

My research differs from previous studies by focusing on how criminal groups expand to strong states, a phenomenon that current theories linking organized crime emergence (Gambetta 1996) or transplantation (Varese 2011) to state weakness do not explain. I identify a dimension of strong state capacity that can generate a demand for organized crime services: rule enforcement increases the risk and cost of being found guilty of rule-breaking, thereby increasing the value of groups enabling illegality and keeping it hidden from the state. This suggests that organized crime should be reconceptualized not just as a substitute for weak states but also as a complement to strong states—providing services critical in strong state contexts.

This study also contributes to the literature on the link between migration and crime. While previous studies focus on the real and perceived effects of immigration on insecurity (Dancygier 2010), I take a different perspective and consider migrants as resources that criminals exploit to expand. This perspective can explain why the correlation between immigration and crime can persist even when migrants do not commit crimes at higher rates than natives.

Methodologically, I propose a new measure of mafia presence based on news scraping and validation with official indicators that can be used to study mafias' diffusion over time. I also contribute to the literature using IVs to study politics (Condra et al. 2018) by identifying a novel instrument for construction based on an exogenous discontinuity.

Once criminal organizations have put down roots in an area, it is hard to eradicate them. Crackdowns on organized crime can backfire and lead to civilian killings, distrust in government, and the rise of new criminal groups (Castillo and Kronick 2020; Lessing 2017; Osorio, Schubiger, and Weintraub 2018; Skarbek 2011). It is therefore critical to identify the conditions allowing criminal organizations to move to a new area and the levers that can be pulled to prevent expansion.

THEORY OF ORGANIZED CRIME EXPANSION TO STRONG STATES

Previous work has examined the reasons leading criminals to move away from their areas of origin and found they mostly relocate because of police prosecution, wars with rivals, or forced resettlement (Sviatschi 2022; Varese 2011). In this study, I take the supply of criminals as given and seek to explain the reasons they are able to establish permanent roots in some places and not in others, conditional on moving.

An important consideration in thinking about organized crime expansion is reflecting on the several obstacles organized crime faces when expanding to new areas. From the point of view of the existing knowledge on organized crime and criminality in general, the expansion of criminal organizations to strong states presents, in fact, a puzzle. First, the prevailing view holds that criminal organizations emerge by substituting weak states that fail to protect citizens and their property rights (Gambetta 1996; Skaperdas 2001). States with high capacity accomplish these functions efficiently, suggesting we should not see any criminal group emerging in these contexts. Second, research in criminology shows that displacing criminal activity is generally hard (Guerette and Bowers 2009) and constraints to expansion are even more binding for organized crime, which is rooted in resources that are inherently local: a reputation for violence, a system of informants, a network of collaborators, and a system of governance and consensus over a territory. For these reasons, Varese (2011) suggests that mafia transplantation is more similar to a politician running in a different country than to a company opening a foreign outpost. Strong states have more resources to repress expansion and should be more likely to succeed than weak states. And yet, organized crime frequently manages to establish a foothold in new areas without being defeated by strong states. I theorize a strategy of expansion that allows criminal groups to overcome these obstacles.

I start by defining strong or relatively strong states focusing on a distinctive feature present in most definitions of state capacity: their capacity to enforce their own rules and punish violators (Polanyi and MacIver 1944).[1] Rule enforcement increases the risks and costs of undertaking illegal activities:

1. Several definitions of state strength have been proposed (see Berwick and Christia [2018] for a review). I adopt one in line with Polanyi and MacIver (1944; the state as regulator of the market society) and compatible with others (e.g., rule enforcement requires legibility [Scott

for example, employers willing to hire informally face a higher risk of judicial prosecution and of blackmailing by employees. Criminal organizations can offer a solution to these problems as they often have the capacity to control the behavior of workers such that reporting risks are substantially decreased.

Criminal organizations are often in the position to offer controllable illegal labor to local actors in the area of expansion. Access to a network of low-income controllable workers is a distinctive feature of criminal organizations across countries. First, criminal groups generally emerge and maintain their strongholds in poor communities in which the incentives to accept illegal forms of employment are higher. Second, even when they move away from their original area, control over low-income individuals is often retained by exercising control over migrants. Historically, in fact, criminals have moved together with masses of migrants from the same area of origin. Italians from Calabria to Australia (Sergi 2015), Sicilians to the United States (Cressey 2017), migrants from Hong Kong to Canada, and escapees from the Soviet Union to Europe (Varese 2006) have all migrated together with the expanding criminal organizations from their countries. When migrants have scarce opportunities to integrate in the destination society, organized crime can profit from its proximity and power over them to offer them employment in the absence of a legal contract while guaranteeing that they will not report their condition to the police, even in case of negative shocks or work accidents. Criminal groups have a reputation for violence among migrants from the same origin, and they can credibly threaten to retaliate against their family members who stayed behind if migrants report.

While business competitors or institutional actors might try to denounce illegal employment, documenting it judicially is hard in the absence of individuals willing to testify. Illegal labor exploitation can affect legal migrants facing frictions in accessing the formal labor market due to lack of integration policies (as in this article) and can be even more pronounced for illegal migrants, who are unable to access formal employment and are subject to the threat of expulsion.[2]

What do criminal organizations obtain in return for the provision of illegal resources to local actors? Other than generating rents (local actors pay criminals for their services), agreements provide criminal groups with the opportunity to rebuild in the new territory some of the most crucial resources on which their power is rooted: networks within the community, the acquisition of a reputation for violence, and the ability to blackmail local actors to obtain information and favors. I contend that, in exchange for the services they provide, criminal organizations create the conditions allowing them to establish their presence in a new territory.

H1. Expansion takes place when criminal groups are able to strike agreements with powerful local actors. Agreements provide local actors with controllable illegal resources and organized crime with the opportunity to build essential assets (revenues, networks, reputation) to expand in the new territory.

With its capacity to enforce informal contracts and keep them secret, organized crime is most useful in strong states, where the cost of illegal transactions becoming public is highest and where illegal behaviors would be most effectively prosecuted. Differently from the previous literature, this theory conceptualizes criminal groups as providing local actors with a service of protection from strong states' prosecution for illegal activities (a service useful particularly in strong state contexts), rather than protection in place of a state unable to offer it publicly (a substitute in place of a weak state).

The main testable implication of this theory is identifying the conditions allowing organized crime expansion:

1. Main implication, determinants of expansion: Criminal groups expand where there is a demand for controllable illegal resources and where criminals can fill this demand.

I test the main implication exploiting variation in the demand for cheap unskilled labor and in criminal groups' capacity to offer it by exploiting migrants from mafia-affected areas. I test three additional implications consistent with the theory:

2. Controllable resources: There is no expansion in places where criminal groups have no control over the illegal resources they offer. I test this implication of the theory by leveraging whether migrants originate or not from mafia-affected areas.
3. Demand matches criminal offer: There is no expansion where there is no demand for the resources criminal groups control. I use booming sectors in which unskilled informal labor was a useful or unnecessary resource.
4. Benefits of the agreement: If expansion relies on agreements with local actors, actors striking deals with organized crime should benefit from the agreement. I test whether small construction firms, which

1998] and is necessary to guard collective interests [Rueschemeyer and Evans 1983]).

2. The lack of integration policies is not a manifestation of state weakness, but rather a policy choice that states with varying degrees of strength can adopt.

generally did not survive the economic boom, are more likely to survive in areas infiltrated by mafias. [3]

QUALITATIVE EVIDENCE: EXPANSION TO THE NORTH

I systematically consulted primary and secondary sources to build qualitative data on how mafias expanded to the north of Italy. This complements the quantitative data by offering a more detailed explanation on the dynamics behind the quantitative findings. I cite the secondary sources below, and the primary sources include a systematic review of (i) all 5,067 news items mentioning the word "mafia" or "labor racketeering" between 1951 and 1980 from the archives of the national newspaper *La Stampa*, the only scrapeable online archive including news from as early as 1950; (ii) the reports of the Parliamentary Commission investigating mafias' expansion to the North; (iii) judicial inquiries of the trials prosecuting mafia members operating in the North; and (iv) additional primary sources that were referenced in these three sets of documents, such as regional council reports and articles from other news outlets.

The expansion of Southern mafias to the center and north of Italy started in the late 1950s. In those years, Italy—especially if we exclude the South—was a comparatively strong state, with a firm monopoly of violence within its territory, a modern bureaucracy, a well-regulated market society, and a large public sector (Hanson and Sigman 2021; Putnam et al. 1994). The conditions identified as conducive to the emergence of criminal groups—the lack of protection of citizens' security and property rights, creating a demand for private forms of protection—were absent, in a state that had crime rates in line with other stable countries and well-enforced property rights. In the late 1950s, Italy entered the "economic miracle," a boom in construction and manufacturing that increased the demand to hire unskilled workers across sectors and attracted a mass of Southern migrants looking for employment in the North: in those years, 4 million Southerners resettled to the center-north, corresponding to one-fourth of the entire Southern population (fig. B.1). The vast majority of migrants was employed, often illegally, in the construction industry. It was estimated that 70% of the construction workforce in Genoa, 80% in Turin, and 85% in Milan came from the South. Most migrants worked for low pay, fell victim to frequent workplace accidents, lived in slums on the outskirts of cities, spoke dialects and often no Italian, and experienced forms of discrimination (Ascoli 1979). This mass migration ended in 1974, when the oil crisis reduced the speed of economic development in the North. Together with the migrants, a number of mafia members also moved to the North, many pushed by their own ambitions and some brought there by the state.

The state forcibly relocates mafia members

Until 1995, the Italian Government had a policy forcing mafiosi into internal exile by relocating them to other cities outside of their region. The policy of *soggiorno obbligato* was a by-product of an idea that mafias were the result of a backward environment, so relocating mafiosi to a more developed place would disrupt their ability to organize criminal groups (Varese 2006). Far from breaking criminality, this policy favored mafias' expansion by pushing people with criminal skills to virgin territories, according to both the Parliamentary Commission investigating mafias and recent empirical work by Buonanno and Pazzona (2014) and Pinotti and Stanig (2016). Some of those sent into exile managed to be relocated to cities of their choice, and at the same time, other mafia members moved north of their own accord.[4] Even if forced resettlement created an additional supply of mafiosi moving north, their presence did not automatically translate into successful mafia expansion. For example, although the province of Cuneo ranked first in number of resettled mafia members (CPA 1976), the province ranks 98th out of 103 in the index of mafia presence developed by Calderoni (2011). It thus remains unclear what determined criminals' success at creating new outposts, conditional on moving.

The racket of migrant workers

Mafiosi undertook a variety of different criminal activities in the North, from extortion and usury to kidnapping. A common pattern is their involvement in the construction sector and, in particular, in the racket of migrants from the South. Judicial investigations following the killing of four 'Ndràngheta members by a construction worker in Turin (Bariona 1971) shed light on how this system worked. Construction companies relied on subcontracting to recruit daily laborers based on their needs. As the economic miracle unfolded, cheap and intermittent labor became scarce, as workers found employment in sectors offering regular income and lower risks (CPA 1976). For smaller construction firms, it became increasingly harder to find day laborers and find them for reasonable prices in a tight labor market. To save money and time, many firms began relying on informal subcontracting to

3. App. A discusses additional aspects of the theory and of the contribution.

4. Notable examples include Joe Adonis in Milan, Geraldo Alberti in Cologno Monzese, Giacomo Zagari in Piedmont, and Frank Coppola in Lazio (CPA 1976).

individuals connected to criminal groups. This process happened in a proper—extralegal—marketplace: in Turin, workers showed up in the morning where migrants arrived from the South, at the train station, and members of mafias hired as many as they needed. Mafias collected a cut from both the employers and the migrants for their service (Bariona 1971). When work-related accidents took place—and they were common (Regional Council of Piedmont 1972)—mafias could guarantee that migrants would not report them to the authorities for fear of repercussions on themselves or on their family members in the South (*L'Unità* 1971, 6). Workers were even hesitant to accept the help of the unions that tried to penetrate this system, due to the mafias' intimidation power. A union representative explained: "When we talk, workers stay silent or provide false information. Meanwhile, mafia members engage in threatening acts against us. They do so not so much to scare us, rather to show workers that they are stronger than we are" (Regional Council of Piedmont 1972). A reportage by *L'Unità* suggests that mafias were "certain of their impunity, which does not derive from their own strength, but rather from that of the system: they are useful for profits, so they will never be touched" (*L'Unità* 1971).

Construction firms

According to the Parliamentary Commission, employers in the construction industry accepted mafias' help out of convenience. The economic boom had made hiring day laborers difficult, and informality allowed employers to evade taxes and payments to social security, cutting the cost of labor in half. Mafias were important for recruiting workers and preventing workers from reporting (Rosso 1971). From the point of view of recruitment, individual firms would face high start-up costs for setting up a system for finding and recruiting informal workers like the one created by organized crime, which involved intercepting migrants upon their arrival in the North, advertising a location where the recruitment would take place, and sending emissaries to recruit workers in this location on a daily basis. Setting up such a system would also be risky: migrants could have denounced firms' attempts at illegal recruitment in the absence of a threat of retaliation. This is the second reason why mafias intermediation was essential: other than benefiting from economies of scale in recruiting, mafias had the capacity to control Southern migrants using the credible threat of retaliation against themselves and their families and networks in the South. Therefore, even if a labor agency, rather than individual firms, decided to undertake this intermediation, it would not have the same capacity to deter migrants from reporting informality and labor exploitation to the state and guarantee their compliance with this informal contract. Collusion with mafias was pervasive: in the most extreme case uncovered by the judiciary, Bardonecchia, 85% of the workforce was subject to labor racketeering. In Turin, the estimate was between 70% and 80% (CPA 1976). This anecdotal evidence is in line with Gambetta and Reuter (1995), who explain that agreements involving a large number of firms are the most efficient for mafias to manage, as they guarantee a better control of pricing and make it costlier to exit. While firms outside of the agreement had incentives to request police investigation of these practices, qualitative evidence suggests that obtaining proof was hard in the absence of workers willing to testify.

Migrants

Why did migrants accept to work without a contract and under the threat of retaliation? The Parliamentary Commission suggested that mafias obtained control over migrants not only with intimidation but also with offers of help when migrants faced unemployment and marginalization. Mafia members intercepted migrants at the train station and offered them employment as soon as they set foot in the North (Tumiati 1969). In this sense, the Commission identified the lack of services to match migrants with employers and to integrate them in the new society as the root cause of labor racketeering. Interviews with union members also highlighted that employees consented to work without protection because regularization costs would be withheld from their pay (*La Stampa* 1971). A combination of workers' short time horizons with the lack of social safety nets and ineffective labor market regulations led workers to prefer to join the racket.

The state

The institutions in charge of remedying this exploitative market actively responded to the threat of mafia expansion, when evidence of it was available. For instance, the Turin scandal triggered a number of official responses: the judiciary led investigations, unions held a joint conference, the regional council created a special commission, and the Antimafia Commission investigated these crimes. However, it was rare that institutions could collect sufficient evidence to convict criminals since both firms and migrants consented to mafias' intermediation. As a result, variation in the quality of institutions is unlikely to explain differing levels of mafia infiltration.

DATA

Mafia presence

No systematic data on mafia presence in Italy from the 1960s to 1980s are available from institutional sources. I create a measure of mafia presence in this period by scraping newspaper articles discussing typical mafia-related crimes from the national newspaper *La Stampa*. I then validate this measure

by collecting official indicators of mafia presence that only exist starting from the 1990s, after mafias' initial expansion had taken place. Through this process, I can create the first municipal-level time-varying measure of Italian mafia presence for the period preceding the 1990s and for the whole country. Other articles have used a similar method to track the presence of Mexican cartels, starting with Coscia and Rios (2012), who use a combination of newspaper scraping and validation of official crime data to build an index of cartel presence.[5] For each scraped mafia-related news, I extract the date, the location, and the body of the article. For the subsample of news that does not have a location tag, I extract the name of the city where the event took place from the article's body. I validate this procedure on the sample of news for which the newspaper itself reports the location of the event. For each city, I obtain a measure of news per capita that I aggregate at the decade level. In 17% ($N = 1{,}046$) of the municipalities in the center and north of Italy, there is at least one news story related to mafias. The median is two news items per 10,000 residents and cities with mafia-related news increases steadily over time (fig. B.2). Although cities with mafias tend to be larger on average, there is no systematic relation between mafia and city size (fig. B.4), suggesting that reporting on mafias is not more likely in larger cities.

Validation of the news as a measure of mafia presence

A first concern is that the type of activities mafias undertake might vary as a function of their level of penetration of the territory, with newly infiltrated places being less likely to display instances of violence to avoid alarming local authorities. To account for this possibility, I track multiple types of crimes, including not only violence but also extortion and infiltration in the legal economy. If actual mafia activity remains undetected by these multiple indicators, the data will contain false negatives, introducing random noise in the dependent variable and lowering the likelihood of observing significant effects. A second concern is that we might observe instances of mafia in a territory not because of intense mafia activity but, rather, due to a successful judicial activity, which might take place exactly where mafias are weaker. I address this concern in two ways. First, I scrape not only news explicitly containing the words "mafia" or "'Ndràngheta," but also typical mafia crimes—extortion, kidnapping, vote buying, drug trafficking, and labor racketeering. Second, I validate the measure obtained from the news by comparing it to official indicators of mafia presence. Although there are no data at the same point in time, I can compare news from 1960–1989 to the distribution of mafia presence later on, from 1990 to today, when official indicators are available.[6] Specifically, I gather information on the following official indicators: (1) goods, properties, and firms seized from mafias (Law 646/1982); (2) city councils dissolved due to mafia infiltration (Law 221/1991); (3) mafia-related victims (from https://www.vittimemafia.it/); and (4) judicial evidence on which cities have a permanent 'Ndràngheta cell.[7] My information comes from different sources—from institutions to NGOs—and locations—from local to national. This range of sources contributes to the robustness of my findings: if mafias, in their strongholds, can successfully divert the investigative activities of the local police, they are less likely to also affect a parliamentary commission or national newspapers.

News and official indicators agree in classifying cities as with or without mafia presence in 81% of the cases. In the remaining 19% of cases, 13% of cities are classified as having mafia presence today by official indicators, but not by news reports from 1960–1989. This suggests that mafias may have gone undetected in these cities earlier or that mafias may have expanded to these cities later on. In contrast, only 6% of cities had news related to mafia in 1960–1989, but no official indicator recorded mafia presence later on. This could indicate instances of successful repression of mafia presence, situations where mafia infiltration did not occur, or situations where it did occur but has not yet been uncovered or recorded by existing indicators. Of all cities with mafia indicators today, 33% already had instances of mafia-related news in 1960–1989, which is partly due to the progressive expansion of organized crime to the North in the years following its initial infiltration. While tracking the presence of the mafia is challenging, using both news sources and official indicators can help validate organized crime measures. In this particular case, there is a reasonably high overlap between news and indicators, which strengthens my confidence in the capacity of this measure to track the diffusion of organized crime during the early years of its expansion into the North. As a further validation, I manually collect one year of mafia-related news from a different newspaper (*Corriere*) and compare the news coverage of mafia presence across the two sources, finding no systematic difference in coverage across outlets (app. B.1).

5. See also Osorio (2015), Sobrino (2019), and Trejo and Ley (2018).

6. While newspapers start mentioning the presence of mafia members and crimes already in the 1960s, the recognition that mafias had moved to the North and their prosecution only started in the late 1990s. As a result, almost none of the official indicators show signs of mafia presence in the decade of 1990, such that a comparison between news and indicators in this period (the only one in which the two measures overlap) does not convey relevant information.

7. From documents of the trials in Aemilia, Crimine, Geena, Infinito, Maglio, and Minotauro.

I map the spatial distribution of news and official indicators in figure 1.[8] Both maps indicate mafia presence in the surroundings of Rome, Milan, Turin, and Genoa. Mafia is also present in the most common touristic destinations of the time (Ravenna, Viareggio, Venice), a pattern consistent with mafias settling where mass tourism yielded a boom in construction development. There are more news items than official indicators in Piedmont (northwest), the region of Turin, where the first scandal revealing the existence of mafias in the North took place. Aside from this area, the two maps display high levels of covariance in mafia presence, even though they rely on different sources and refer to different time periods, validating news items as a predictor of mafia presence.

Compared to existing measures, my index enables to map mafia presence in Italy for a considerably longer period, from 1960 to today. Current measures of mafia presence at the municipal level start from the 1990s (Dugato, Calderoni, and Campedelli 2020) or only exist for Sicily at one point in time (Cutrera 1900). My method allows me to map the entire country from as early as archives of news are available, at the municipal level, and to verify the correspondence of news with other indicators. This method can be adapted to study organized crime in other countries, allowing for comparative research on organized crime across space and time.

Other data

I gather data on sectoral employment from 1951 from the Italian National Statistical Institute and on interprovincial migration from Institute for Research on Population and Social Policies, which provide a matrix of people moving from province of origin to destination from 1955 onward (fig. B.3). I also use census data on city characteristics from 1951 onward, census population in 1871, the number of forcibly resettled mafia members (CPA 1976), and national elections results of 1948–2008 from the Ministry of Interior Affairs (descriptive statistics in table B.1).

DETERMINANTS OF EXPANSION

Empirical strategy

The main predictable implication of my theory is that mafia expansion is more likely where there is a demand for controllable informal labor (due to an increase in construction employment) and where criminals can fill this demand (by offering migrant labor from mafia-affected areas). I estimate:

$$Mafia_{it+1} = \alpha_i + \beta_t + \gamma C_{it} + \delta M_{pt} + \zeta C_{it} \times M_{pt} + \epsilon_{it}, \quad (1)$$

where $Mafia_{it+1}$ is mafia presence in city i (included in province p) and decade $t+1 = [1971–1981, 1981–1991]$, C_{it} is the population share of employees in the construction sector, M_{pt} is the population share of immigrants from the South in province of destination p, and α_i and β_t are city and decade fixed effects. City fixed effects control for differences in city characteristics (such as being a larger or higher social capital city), so that the coefficients γ, δ, and ζ capture the effects of changes in regressors within the same city.

The coefficient of interest ζ captures the joint effect of an increase in construction employment and migration from the South on mafia presence. The implication of the theory is that this effect should be positive. Importantly, I partial out the individual effects of construction employment and migration, as these two variables could have effects on their own, independently of the mechanism I am interested in. For instance, higher employment could reduce the incentives to engage in crime, leading to a negative effect of construction, captured by γ. Similarly, differences between the levels of criminality by migrants and natives would be captured by δ, the point estimate on migration. Since these two variables are controlled for, the interaction allows me to test the theory by isolating the contribution of a demand for unskilled labor to mafia expansion when a migrant workforce is available for exploitation.

There are two possible technical concerns with this specification. First, equation 1 assumes that interaction effects between immigrants and the construction sector are linear. I provide empirical support for this assumption in appendix C. Second, estimates are likely to suffer from both omitted variable bias and reverse causality issues. I deal with endogeneity and reverse causality by instrumenting both construction employment and migration.

Instrument for construction

In 1865, the Kingdom of Italy approved a law allowing the adoption of a development plan for cities with more than 10,000 residents. Adopting a development plan led cities to program their expansion in advance, laying down plumbing, building roads, and developing other infrastructures where new neighborhoods were created. In the 1960s, after the law had been removed and the construction boom had started, cities that had been subject to better-designed development entered the boom in a more favorable position to develop further. I show that these cities indeed grew faster with a regression discontinuity design using population in 1871 (the

8. Because my objective is to assess the extent to which the two measures overlap, I compare the spatial distribution of news and official indicators without normalizing them by population, which changes (potentially endogenously) over time.

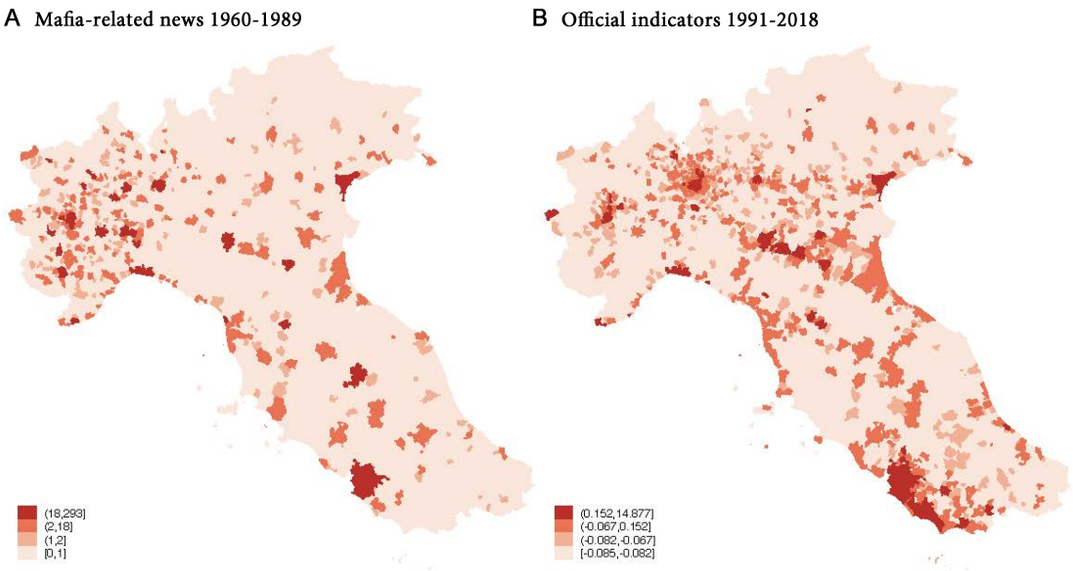


Figure 1. Mafia presence as defined by news, 1960–1989, and official indicators, 1990–2018. (Left) Maximum number of mafia-related news items (extortion, kidnapping, drug trafficking, labor racketeering, vote buying, news mentioning "mafia" or "'Ndràngheta") recorded in a city-decade, 1960–1989. (Right) Official indicators of mafia presence (average of standardized number of goods, properties, and firms seized from mafia, mafia-related homicides, 'Ndràngheta outposts uncovered by the judiciary, city councils dissolved for mafia infiltration), 1991–2018.

first census after the law's passage) as a running variable. The growth in construction employment in the 1960s–1970s is discontinuously larger for cities that were above 10,000 residents in 1871. This effect is only present during the boom and is absent both before (there is no jump in 1951, indicating no anticipation effects) and after, in 1981. In other words, the instrument is a period-specific shock. This is consistent with the effect we would expect: before the construction boom started, the marginal advantage given by better spread infrastructures did not matter as much as determining differential construction growth. Two decades after the start of the boom, this advantage disappears and cities that had been exposed to regulated development in the 19th century have the same growth in construction employment as those that did not. Importantly, while the law might have impacted city characteristics at the time when it was in place, it did not have a lasting impact on any other city-characteristic recorded in the census nor on migration in either 1951 or later. A description of the law, these results, and other results are presented in appendix D.

To build the instrument, I interact a dummy equal to 1 for cities above the population threshold in 1871 with national growth in construction employment over time, net of the contribution of the city of interest. To account for potential endogeneity introduced by the use of a population cutoff, I control for the interaction of population and growth in employment at the national level in the first and second stage. Table E.1 shows that the instrument strongly ($F = 20$) and significantly predicts construction employment in 1961–1971, while figure E.2 indicates a monotonic effect of the instrument on construction. The identification of an instrument that impacted construction while leaving other important covariates such as economic development unchanged is a methodological contribution of this article.

Instrument for migration

The instrument for Southern migration is built using a modified version of the shift-share instrument (Card 2001). This instrument builds on migrants' tendency to cluster geographically where initial settlers established their residency. If early settlers act as pull factors for subsequent migrants, then early migration patterns can be used to predict migration without relying on current (endogenous) flows. The shift-share instrument is the interaction of two terms: the "share" of initial settlers from each province in the South in 1955 (before mafias and mass migration's arrival) with the flows of migrants of the same origin at the national level at time t (the "shift"). The instrument positively and strongly ($F = 94$) predicts the population share of Southern migrants (table E.3), and this relation approximates monotonicity (fig. E.2). I check the robustness of this instrument to violations of the exogeneity assumption (Goldsmith-Pinkham, Sorkin, and Swift 2020) by predicting the flows using an exogenous push factor: the severity of drought in the south of Italy, which led Southerners to abandon the countryside at higher rates. The migration instrument and its robustness are discussed in

appendix E. Finally, the instrument built from the interaction of the instrument for construction and migration meets the identifying assumptions (table E.1).

Results

The main results of the IV estimation are reported in table 1, column 2. The direct average causal effect of construction employment on mafia is negative and significant. This echoes the finding that employment reduces crime by increasing the opportunity cost of engaging in illegal activities (Becker 1968). The direct effect of south-to-north migration on mafia is also negative, although at the limit of statistical significance, in line with recent literature showing that migrants have lower propensity to commit crimes once employment is controlled for (Bianchi, Buonanno, and Pinotti 2012). The negative direct effect of these two variables on mafia presence allows me to exclude that criminal organizations expanded by making profits in the construction industry (opening their own firms or capturing public procurement contracts) or that migration itself caused an increase in crime.

Instead, the impact of a joint increase in construction and migration on mafia presence is positive and significant. When both migration and construction increase by one standard deviation, mafia-related news items increase by 0.098 per 100 inhabitants. A middle-sized town of 15,000 inhabitants would pass from zero to 15 mafia-related news in a decade, relative to an equally sized town experiencing growth in construction but not in migration (or growth in migration but not in construction).[9] To illustrate this interaction, figure 2 plots the change in mafia presence caused by an increase in construction employment for different levels of migration (left panel). Conditional on above-average levels of migration, an increase in construction employment increases mafia presence. Similarly, conditional on high levels of construction employment, an increase in migration increases mafia presence (right panel). The difference between ordinary least squares (OLS) and two-stage least squares (2SLS) indicates that construction employment, migration, and their interaction are endogenously related to mafia presence. For instance, places with both high construction employment and migration tend to be more educated and more likely to vote for the Communist Party before mafias' arrival, a circumstance that might have made expansion harder by reducing criminals' margin of action. This could explain why the coefficient of the interaction is lower in the OLS than in the IV specification. Additionally, as in all IVs, 2SLS estimates correct for measurement error in the independent variables, reducing the attenuation bias that might be present in the OLS estimates. As in every IV approach, results should be interpreted as the effect on compliers—cities in which construction and migration changed as a result of the instruments.[10]

In appendix F, I explore the robustness of these results to different definitions of the dependent variable and different specifications. One may wonder whether measured increases in mafia presence are partly driven by increases in the likelihood that mafia-related crimes are reported. Although this is a typical limitation in the crime literature, my setting allows me to speak to this concern by exploiting indicators of mafia presence available for later periods as a source of validation. I use a lasso and a random forest algorithm to select only types of news that predict official indicators. Results are robust to this definition; to excluding news stories explicitly mentioning mafias, which might capture an increase in concern for infiltration rather than in actual mafia presence; and to transformations of the outcome accounting for possible outliers (winsorizing) and for its skewed distribution (using a logarithmic transformation). These results are presented in table F.1. As expected, I obtain null results from a placebo test on mafia news at $t - 1$. In figure F.1, I validate my mafia measure based on news from *La Stampa* by replicating the main result on the subset of data from 1969 only, for which I have manually collected news items from *Corriere*. Results, although insignificant due to the much smaller sample used, are positive and similar in size using both measures.

I test the robustness of results to changes in the specification choice and instrument definition in table F.2. First, I exogenously predict the flows of migrants using drought severity in the South as push factor. A second test restricts the sample to cities with population included in the optimal regression discontinuity bandwidth, which reduces the observations to 10% of the total, leading to estimates of similar size and almost significant. I present modified versions of the instrument excluding the leave-out component, which left the endogenous contribution of the municipality of interest out of the calculation of the instrument. I run a test in which I remove two regions, Abruzzo and Molise, from the count of regions in the center and north of Italy.

9. The sum of the three coefficients (construction, migration, and their interaction) does not have any interpretation, as it conflates the direct effect of employment on crime, the direct effect of migration, and the effect of their interaction. Instead, the coefficient of interest is the effect of the interaction, after partialing out the direct effects of the other two.

10. Because this is a setting with three continuous regressors and instruments, profiling compliers is not feasible, as there would be a different set of compliers for every level of each variable and for every combination of values (Abadie 2003).

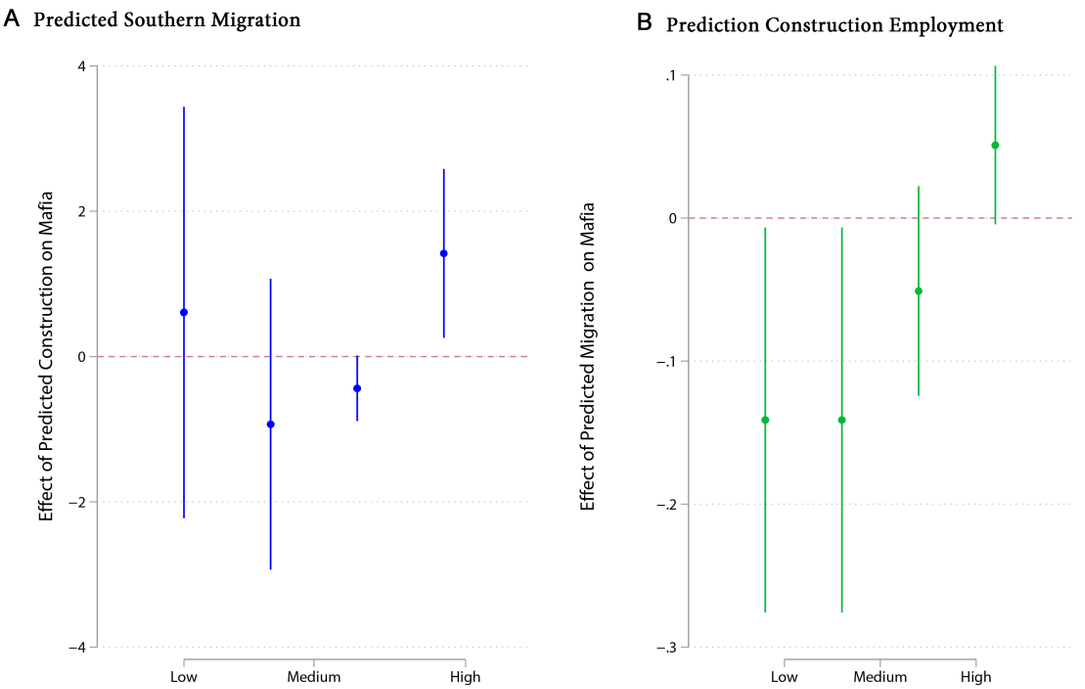


Figure 2. Effect of construction and migration on mafia, by levels of the other variable. The left panel shows the effect of predicted construction employment on mafia-related news by quantiles of predicted Southern migration. The figure indicates for which values of migration construction has a positive effect on mafia presence. The right panel shows for which values of construction migration has a positive effect.

In table F.3, alternative methods are adopted to compute standard errors. First, the study corrects for the possibility of spatial dependence in residuals, which can result in error terms that are not independently and identically distributed, artificially reducing standard errors. To address this issue, the study follows the method developed by Conley (1999) and allows residuals to be spatially correlated within a radius of 200 (column 1) and 300 (column 2) km and temporally autocorrelated for the two periods in the sample. The estimates remain significant at the 5% level even with this correction. Second, the study computes more conservative standard errors based on a nonparametric bootstrap procedure, following Lal et al. (2023). Finally, I cluster standard errors at a higher level of aggregation, the province. The estimates remain significant across specifications.

In appendix G, I further discuss why results are driven by competition for employers (and not between firms), whether mafias' expansion was preplanned, and I relate my findings to the studies on forcibly resettled mafia members.

Additional implications of the theory

Controllable resources. I test the validity of my theory by showing that when I drop any of the conditions identified as conducive to mafia expansion, results disappear. First, my theory requires criminal groups to have control over illegal resources—in particular, that mafias can control migrants so they do not report labor violations to the police. The reputation and blackmailing power mafias hold among Southerners should not apply to the same extent to migrants coming from other regions. In fact, I show that when we consider migrants from the center and north of Italy, the effect on mafia presence disappears (table G.1, column 1). Symmetrically, we should see stronger results when migrants come from heavily mafia-affected areas. I define high-mafia intensity using the province-level index of mafia presence developed by Calderoni (2011) and subtracting provinces in the Apulia region, where indigenous criminal organizations did not develop until the late 1970s (Pinotti 2015). As shown in table G.1, column 2, the triple interaction increases from 0.098 to 0.148 when restricting our attention to only migrants from heavily mafia-infiltrated provinces. These two findings are in line with the idea that the capacity to control migrants was key to mafias' expansion.

Demand matches criminal offer. Second, my theory predicts that there must be a demand for the resources that criminal groups can offer or, in other words, that the resources offered by organized crime must be useful. In the period I study, car manufacturing, petrol chemistry, and the retail sector were also booming like construction. However, unskilled informal

labor was not useful in sectors that were not labor intensive or where hiring illegally was not an option: retail consisted of small family-owned shops not in need of extra workforce, and petrol chemistry and car manufacturing were dominated by Eni and Fiat, which, being respectively public and under strict union scrutiny, could not hire illegally. Consistently these sectors' expansion has no effect on mafia presence (table G.1, columns 3 and 4). Similarly, unskilled labor was not attractive in skilled-intensive sectors (press, editorial, financial, and insurance services). Also in this case, there is no effect on mafia expansion (column 5).

Benefits from the agreement. The theory predicts that firms in agreement with mafias should have gained something from this exchange, obtaining more favorable conditions than those offered by the market to recruit and pay workers. Identifying the specific firms in agreement with organized crime is, unfortunately, unfeasible: judicial investigations prosecuting construction firms were rare and unsuccessful due to the unwillingness of migrants to testify against the firms. It is however possible to offer an indirect test of the presence of agreements in a city. The "Qualitative Evidence: Expansion to the North" section indicates that small construction companies had difficulties hiring short-term workers during the boom, when market tightness made occasional workers harder to find. As a result, small companies that could not count on a stable employee pool had a hard time surviving. This pattern highlighted by qualitative sources is also visible in the data: the ratio of employees per firm in a municipality is monotonically larger as the growth in construction employment increases (fig. G.1), or, in other words, small firms were less and less common the bigger the size of the boom.

If agreements with mafias took place in a city, construction companies that would have otherwise failed—small-size companies with fewer employees—might have instead survived. I test this possibility empirically by estimating the following model:

$$Employeeperfirm_{it} = \eta_i + \theta_t + \iota ZMigr_{it} + \lambda EmpConstr_{it} + \mu EmpConstr \times Mafia_{it} + \nu_{it}. \quad (2)$$

The dependent variable is the ratio of employee-per-firm in a municipality-decade, which is larger when firms have more employees on average. The independent variables are construction employment and its interaction with mafia presence—a dummy taking value 1 if mafia-related news is present in a municipality at any point in time in the 1960s–1980s. Municipality and decade fixed effects are included together with a control for instrumented migration from the South, and standard errors are clustered at the city level.

As expected, λ is positive: firms are larger in cities with a larger growth in construction employment (table G.2). However, this effect is reverted in places with mafia infiltration, as evidenced by the negative μ: in mafia-affected cities with a construction boom, the employee-per-firm ratio decreases substantially, indicating that small companies were more likely to survive if mafia was present. While insignificant, this effect is large in magnitude and robust across OLS and IV specifications. The finding that small firms thrived in places with mafia infiltration aligns with the labor market outcomes we would observe if agreements between organized crime and construction firms took place.

ALTERNATIVE INTERPRETATIONS AND EXTERNAL VALIDITY

This section begins by considering alternative explanations for the findings. It then explores the applicability of the theory to different services and to international migrants. Lastly, it examines parallels between the case studied and organized crime expansion to other countries.

The data indicates that mafias expanded in cities with rising construction employment and Southern migration. Both qualitative and quantitative evidence suggests this occurred because (i) construction entrepreneurs sought inexpensive informal labor while evading labor violation charges and (ii) mafias met this demand by exploiting migrants who would not report these violations. An alternate interpretation could be that criminal groups exploited weak pockets in strong states to offer protection where the state did not. However, the state's inaction over illegalities was not due to feeble capability but to criminals controlling illegal transactions and stifling reporting. Regardless of state capacity, prosecuting illegalities becomes tough if all parties deny involvement—in this case, firms had no incentive to report, and migrants feared repercussions. If anything, organized crime might be seen as generating pockets of weakness in strong states, rather than exploiting existing ones.

Another perspective could be that criminals expand despite state strength, providing migrant labor to firms wherever convenient, in both weak and strong states. While criminal groups might engage in labor racketeering in other contexts, weak states might offer simpler ways to avoid labor violation penalties (like bribing officials), riskier in strong state settings.

External validity

Other services offered by criminal organizations. Beyond informal labor, criminal groups can provide other services to local actors in the areas of expansion. Examples could include the provision of electoral brokering services to politicians or illegal waste management to firms. Another example is the

provision of liquidity to firms. In times of credit market limitations, firms seeking liquidity can gain from cash injections by criminal groups. A study by Le Moglie and Sorrenti (2022) exhibited this in Italy during the 2007 financial crisis, where mafia-linked areas saw boosted survival due to mafia-backed liquidity infusion. In return, these firms provide assistance to criminal entities, like employing their associates or aiding future money laundering. Further research is needed to ascertain if liquidity provision not only influences firms economically but also fuels organized crime's expansion into new areas.

International migrants

This article considers a case of internal migration: while discriminated against and speaking dialects, Southern migrants were Italian citizens with legal work status. In contrast, organized crime's expansion into new countries typically involves illegal international migrants. These migrants are even more susceptible to criminal groups due to limited legal labor opportunities, high smuggling fees, debt bondage, and identity document retention (ILO 2022). On the other hand, employers too can also exploit the precarious status of undocumented migrants by threatening job loss and visa revocation tied to employment. This prompts the question of whether organized crime's intermediation remains necessary. Two elements are worth considering. First, criminal groups may still be relied upon for recruiting illegal workers. Their function is solving a matching problem between migrants in search for jobs but hiding from the state and firms in search of informal labor but unable to advertise it publicly. Especially in places where criminal organizations control migrant smuggling, recruitment might solely occur through them. Second, cases exist where informal workers opt to report exploitation despite facing job loss, especially in severe accidents or extreme exploitation instances. Some countries safeguard exploited migrant workers, granting temporary work permits upon identification of exploitation. Recent research in Italy shows that migrants report exploitative firms under specific conditions (Dipoppa 2024), suggesting that organized crime intermediation remains valuable for recruiting and controlling migrants. In fact, episodes of organized crime expansion to new countries suggest this is a role they adopted across different contexts.

Organized crime expansion besides Italy. Outside of Italy, several other examples of organized crime expansion to strong states are characterized by the contemporary arrival of criminals and of migrants from the same area of origin. In the early days of the Italo-American mafia, mobsters acted as intermediaries between local employers and Italian migrants to exploit their compatriots as workforce through the so-called "padrone system" (Lupo 2009). Likewise, the Miri-Clan's rise in Germany coincided with Turkish-Mhallami origin immigration, and the 'Ndràngheta presence in Australia has been linked to migration waves from Calabria (Sergi 2015). Presently, anecdotal evidence of the Nigerian Black Axe's expansion into Italy indicates it thrives by exploiting migrants in

Table 1. Joint Effect of Construction Employment and Southern Migration on Mafia Presence

	(1) Mafia (OLS)	(2) Mafia (2SLS)
Construction employment per capita	.0026	−.169***
	(.0041)	(.052)
Southern migration per capita	.0216***	−.032*
	(.0081)	(.017)
Construction employment × Southern migration	.0039	.098**
	(.0057)	(.041)
Observations	11,926	11,926
Number of cities	5,963	5,963
City and decade FE	Yes	Yes

Note. OLS (column 1) and 2SLS (column 2) estimates of equation 1. Mafia is the population share of news related to mafia in a city-decade at $t + 1$ and regressors are standardized. City and decade fixed effects and a control for the interaction of population in 1871 (determining the assignment of the development plan) with national growth in construction employment are included. Standard errors are clustered at the city level.

* $p < .05$.

** $p < .01$.

*** $p < .001$.

near-slavery conditions in agriculture and construction sectors (Harlan and Pitrelli 2019). Similarly, Mexican migrants in Californian fields work under cartels' control from their home country (Zhang 2012). Although each case necessitates in-depth analysis to determine what allowed criminal groups to expand, this shared pattern implies that the dynamics documented using micro-level evidence from Italy in the 1960s and 1970s are likely to travel to other contexts.

CONCLUSION

The emergence of criminal organizations has been attributed to weak states' incapacity to provide security and services to their citizens, leaving space for criminal groups to substitute important states' functions. The expansion of organized crime to areas with strong institutions requires a new explanation. I propose that criminal groups expand by capitalizing on their ability to enforce illegal agreements and keep them secret as a way to strike agreements with local actors in strong states. These agreements enable them to generate revenue, rebuild networks, and establish reputation in new areas. I show that an important case of successful criminal expansion, the move of Southern Italian mafias to the North, responded to this logic and was made possible by two factors: a construction boom spurring demand for inexpensive unskilled labor and the arrival of migrants from the same region as mafias and over which criminal groups exerted control. By furnishing affordable, informal labor to firms, criminal groups establish networks of interdependence with locals, a crucial resource for infiltrating a new area.

Alternative theories for the expansion of criminal groups could be possible. For example, organized crime might expand to strong states in search for more profitable illegal markets. While this article does not seek to rule out that this alternative strategy of expansion might exist and explain other cases, a model uniquely based on making profits in illegal markets does not explain how expansion might take place without triggering strong states' reaction or how a reputation and networks with key local actors can be recreated ex novo in the new territory.

The phenomenon documented in this article is rather common, yet its connection to migrant exploitation as a significant driver of organized crime expansion has remained unclear until now. The implications of these findings are important not just for combating organized crime but also for immigration policy. Immigrants are more likely to resort to exploitative illegal labor offered by criminal organizations when states do not support their integration. This study underscores that curbing opportunities for exploitation extends beyond safeguarding victims; it also plays a role in thwarting the expansion of organized crime to new areas.

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